

Outlook

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Prove the early-warning model cannot see the future - 2024 control review

Hi,

This came up in a working session and nobody had the same definition.

The proposed repayment-stress model combines monthly snapshots, and Model Risk needs proof that every feature existed at the observation date.

I do not want a dashboard that simply counts the outcome. Start with the competing explanations: status or collections fields leak future outcomes; performance is stable after strict time-based validation; or monthly snapshots duplicate later knowledge.

Failure anecdotes are beginning to drive decisions, although retries and late posting may be making the problem look larger than the affected-customer population. There are enough data exceptions to make a polished average dangerous; preserve the unresolved cases. This has returned because the previous answer was useful but not strong enough to become a standing rule. Use March 2024 as the new evidence point rather than recycling the earlier conclusion.

What we need to decide is whether the model can enter validation or must return to feature engineering. Please bring a short decision pack with no more than five slides and an attached evidence table, including a few cases we can trace from source to conclusion.

The available evidence is the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; transaction-level timestamps, channels, amounts, statuses and error context; debit-order mandates, collection dates, suspensions and cancellations; collections cases, promises to pay and recovery payments; monthly account snapshots, status events, limits, product enrolments and signatories. Use out-of-time validation and preserve event timestamps; do not random-split repeated observations of the same customer.

Thank you